

Finance Reference for the Hostile Takeover Case

Open 01 START HERE first Use this document when a finance concept blocks you

This is not a second assignment and it is not the first file to read. Inspect the case evidence first. Return here when you need to understand how a transaction affects profit, cash, assets, liabilities or equity.

1 The accounting equation

Assets equal liabilities plus equity. Every correction must preserve this equation. A balanced statement can still contain wrong classifications, but an unbalanced statement is definitely incomplete or wrong.

2 Profit is not cash

Revenue and expense follow economic activity. Cash flow follows money. A customer deposit can increase cash without increasing revenue. A loan increases cash and debt, not profit.

3 Revenue and receivables

Recognize revenue when the promised goods or service are delivered. Closing receivables equal opening receivables plus credit revenue minus collections and write-offs. Deposits for future work are liabilities.

4 Inventory and cost of goods sold

Closing inventory equals opening inventory plus purchases minus COGS and write-offs. Physical existence does not guarantee financial value. Unsaleable damaged goods require a write-down.

5 Payroll and accruals

Payroll expense belongs to the period in which employees worked. Cash paid may differ. Closing payroll liability equals opening liability plus expense minus cash paid.

6 Fixed assets repairs and depreciation

Capitalize spending that creates or improves a long-term resource. Expense work that merely restores normal operation. Depreciation allocates asset cost over useful life and is non-cash in the current period.

7 Loans interest and owner money

Borrowing and principal repayment are financing activities. Interest is an expense. Personal owner spending is a distribution unless genuine business purpose and evidence support another treatment.

8 Provisions and later evidence

Recognize a provision when an obligation from a past event is probable and can be estimated. Evidence received after period end can confirm a condition that already existed at the reporting date.

9 Reconstructing the three statements

Build the supporting schedules first. Use them to produce the P&L, then connect cash flow and the balance sheet. Link values rather than typing the same number repeatedly. Reconcile cash, working capital, debt, PPE and equity.

10 Evidence discipline

Prefer bank and signed third-party evidence over unsupported management claims. Preserve competing interpretations, quantify their effect, state confidence and make the final judgment yourself.

Minimum board output

- Corrected profit and cash position.
- Working-capital and solvency warning.
- Five immediate control actions.
- Key uncertainty ranges.
- A decision on whether the core business should continue.